Practice workbook · Why keep a petty cash book

Reasons for and benefits of separating small cash spending from the main cash book, up to judging whether a business needs one.

7 question parts: 1 worked-example retry and 6 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-REC-07

1. Question 14 · part a · 2 marks

2024 NOV · Paper 01

Worked-example retry · Attempt part a only.

14 (a) State **two** purposes of maintaining a petty cash book.

(2)

1 .....

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2 .....

.....

Rita maintains a full set of accounting records including a petty cash book which has a float of $200

On 1 March 2024, the balance of the petty cash book was $155. On that day the float was restored.

(b) State the double entry for the transaction on 1 March 2024.

(4)

Account to be debited	$	Account to be credited	$

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1. Question 14 · part a · 2 marks · Working and answer

Working and answer

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2. Question 14 · part a · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part a only.

14 (a) State **two** reasons for maintaining a petty cash book.

(2)

1 .....

.....

2 .....

.....

Jonny maintains a petty cash book with a float of $150

During January 2019 the following petty cash transactions took place.

January	Voucher Number	Transaction	$
2	101	Purchased postage stamps	11.50
8	102	Paid travel expenses to sales manager	22.50
15	103	Paid to John, a trade payable	35.00
22	104	Purchased coffee, tea and sugar	17.75
26	105	Purchased postage stamps	8.50
31	106	Paid cleaner's wages	15.00
31		Restored float	**To be calculated**

(b) Prepare the petty cash book for the month ended 31 January 2019.

Balance the petty cash book on that date and bring the balance down on 1 February 2019.

(11)

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2. Question 14 · part a · 2 marks · Working and answer

Working and answer

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3. Question 16 · part a · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part a only.

16 (a) State **two** reasons why a business maintains a petty cash book.

(2)

1 .....

.....

2 .....

.....

Juliet maintains a petty cash book with a float of $150

The following transactions took place during April 2020.

April	Voucher number	Transaction	$
5	401	Paid taxi fare	15.20
9	402	Purchased postage stamps	14.60
13	403	Paid employee travel expenses	25.00
22	404	Purchased envelopes	18.30
29	405	Paid cleaner's wages	30.00
30		Restored float to petty cash	**To be calculated**

(b) Prepare the petty cash book for the month ended 30 April 2020.

Balance the petty cash book on that date and bring the balance down on 1 May 2020.

(11)

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3. Question 16 · part a · 2 marks · Working and answer

Working and answer

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4. Question 15 · part a · 2 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

15 (a) State **two** reasons why a business maintains a petty cash book.

(2)

1 .....

.....

2 .....

.....

Bharti maintains a petty cash book with a float of $120

The following transactions took place in March 2022.

March 2022	Voucher number	Transaction	$
3	2360	Purchased postage stamps	21.60
9	2361	Purchased stationery	32.30
18	2362	Paid travel expenses	9.20
22	2363	Paid office cleaner	20.00
29	2364	Paid taxi fare	15.00
31		Restored the petty cash float	**To be calculated**

(b) Prepare the petty cash book for the month ended 31 March 2022.

Balance the petty cash book on this date and bring the balance down on 1 April 2022.

(11)

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4. Question 15 · part a · 2 marks · Working and answer

Working and answer

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5. Question 16 · part a · 2 marks

2023 JAN · Paper 01

Further practice · Attempt part a only.

16 (a) State **two** benefits of maintaining a petty cash book.

(2)

1 .....

2 .....

Sven maintains a petty cash book with a float of $150

The following transactions took place during August 2022.

August	Voucher number	Transaction	$
5	1201	Paid employee's travel expenses	14.00
12	1202	Purchased postage stamps	26.80
16	1203	Paid Fabrizi, a credit supplier	30.00
19	1204	Paid parcel post	45.00
24	1205	Paid taxi fare	9.60
31		Restored the petty cash float	**To be calculated**

(b) Prepare the petty cash book for the month ended 31 August 2022.

Balance the petty cash book on that date and bring the balance down on 1 September 2022.

(9)

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5. Question 16 · part a · 2 marks · Working and answer

Working and answer

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6. Question 14 · part b · 5 marks

2021 JUN · Paper 01

Further practice · Attempt part b only.

14 Raheem maintains a three-column cash book.

On 1 April 2021 the balances were: bank $110 overdrawn, cash $25

The following transactions took place during April 2021.

April	Transaction
3	Received a credit transfer from Joseph in full settlement of an invoice for $1620. The receipt was after taking 10% cash discount.
12	Paid BL Council by standing order, $220
21	Sold goods for cash, $80
23	Transferred cash to bank, $65
27	Paid window cleaner by cash, $28
30	Paid AWB $2185 by cheque in full settlement of an invoice after taking 5% cash discount.

(a) Enter the transactions in the three-column cash book on **page 9**.

Balance the cash book on 30 April 2021 and bring the balances down on 1 May 2021.

(10)

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6. Question 14 · part b · 5 marks

2021 JUN · Paper 01

Further practice · Attempt part b only.

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Cash Book

Date 2021	Details	Discount $	Cash $	Bank $		Date 2021	Details	Discount $	Cash $	Bank $

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6. Question 14 · part b · 5 marks

2021 JUN · Paper 01

Further practice · Attempt part b only.

(b) Explain the benefits for Raheem of maintaining a petty cash book.

(5)

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(Total for Question 14 = 15 marks)

6. Question 14 · part b · 5 marks · Working and answer

Working and answer

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7. Question 18 · part b · 5 marks

2025 NOV · Paper 01

Further practice · Attempt part b only.

18 Kate maintains a three-column cash book.

On 1 August 2025 the balances were: bank overdraft $425, cash $112

The following transactions took place in August 2025.

August	
2	Paid ROH, $494, by cheque in full settlement of an invoice after taking cash discount of 5%
5	Cash sales, $835
8	Received notice from the bank that a cheque received from Slater, $320, had been dishonoured.
13	Paid cash into the bank, $795
15	Received a credit transfer from Alzate in full settlement of an invoice for $980 taking a cash discount of 5%
21	Paid NY Electric, $220, by standing order.
28	Paid cleaner by cash, $35

(a) Enter the transactions for the month of August 2025 in the cash book.

Balance the cash book on 31 August 2025 and bring the balances down on 1 September 2025.

(10)

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7. Question 18 · part b · 5 marks

2025 NOV · Paper 01

Further practice · Attempt part b only.

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Cash Book

2025 August	Details	Discount $	Cash $	Bank $	2025 August	Details	Discount $	Cash $	Bank $

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7. Question 18 · part b · 5 marks

2025 NOV · Paper 01

Further practice · Attempt part b only.

(b) Discuss whether Kate should maintain a petty cash book.

(5)

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(Total for Question 18 = 15 marks)

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7. Question 18 · part b · 5 marks · Working and answer

Working and answer

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